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Report Name: 2019 Direct Versus Indirect Trade--Bulgaria's Hidden Market for US Agriculture

Country: Bulgaria

Post: Sofia

Report Category: Agricultural Situation, Fishery Products, Livestock and Products, Oilseeds and Products, Planting Seeds, Potatoes and Potato Products, Tree Nuts, Wood Products, Beverages

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Report Highlights:

The U.S. Census Bureau's database for bulk, intermediate, and consumer-oriented (BICO) measures U.S. food and agriculture exports shipped from the United States directly to foreign ports of entry. As a result, BICO does not account for substantial U.S. agricultural trade to Bulgaria because most U.S. goods are routed through Western European port, en route to Bulgaria, and counted as U.S. exports to those countries. According BICO, U.S. food and agricultural exports to Bulgaria in 2019 reached \$24 million. However, according to Bulgaria's National Statistical institute (NSI), which measures trade by country of origin and therefore reflects both direct and indirect trade, Bulgaria sourced upwards of \$64.3 million of U.S. food and agriculture in 2019. FAS Sofia encourages USDA Cooperators and other U.S. food and agricultural exporters and stakeholders to look beyond BICO and review different data sources when considering resource allocations and market development strategies for Bulgaria.

General Information:

U.S. food and agriculture is traded to Bulgaria directly from the United States (mainly bulk and intermediate) or is transshipped through other European Union (EU) ports of entry, notably in the Netherlands, Germany, the United Kingdom, Italy, Greece, and Romania. Because [BICO](#) reflects direct U.S. trade to Bulgaria, it does not capture significant volumes of U.S. trade routed to Bulgaria through distributors in Rotterdam, Bremerhaven, and other European port cities. As a result, Post views Bulgaria's [National Statistical Institute](#) (NSI) data, which includes both direct and indirect trade, as a more accurate reflection of Bulgarian market conditions and local demand for U.S. food and agriculture.

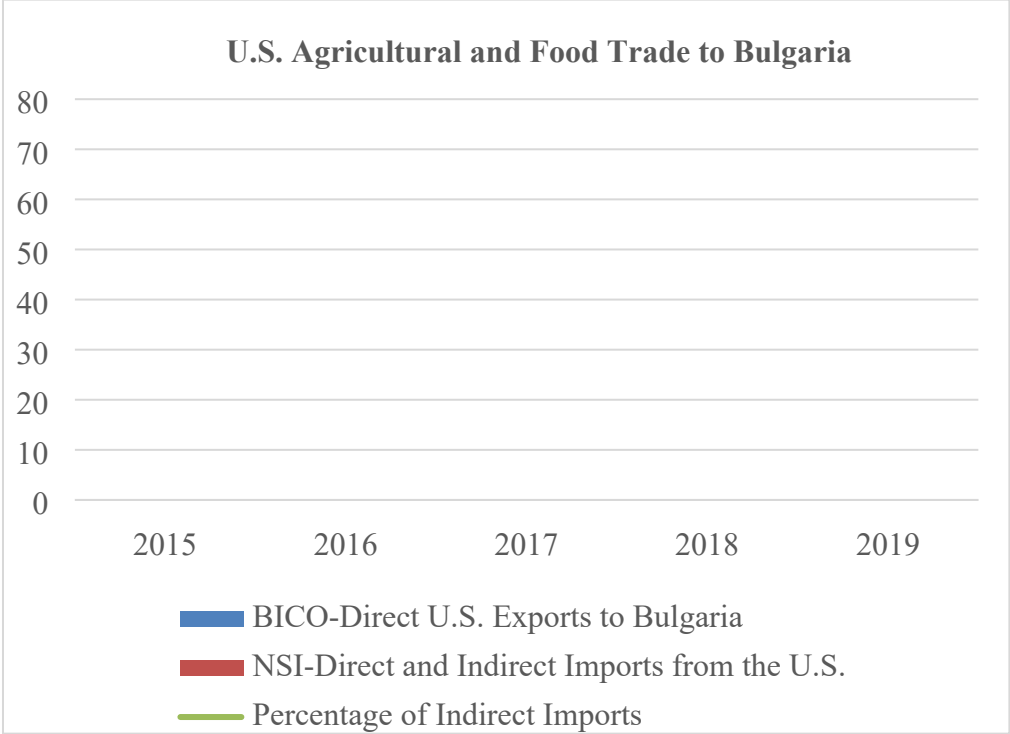
A side-by-side comparison of BICO and NSI data reflects the differences between U.S. and Bulgarian official data. According to NSI data, Bulgarian importers sourced \$64.3 million of U.S. food and agricultural products in 2019. Sunflower seeds, food preparations, distilled spirits, tree nuts, ground nuts, and essential oils were the largest categories and accounted for 50 percent of total U.S. food and agricultural trade to Bulgaria last year.

Table 1. U.S. Food and Agricultural Trade to Bulgaria 2015-2019 (\$ million)

Source of Data	2015	2016	2017	2018	2019
BICO (Direct U.S. Exports to Bulgaria)	24.4	28.8	24.1	25.1	24.0
NSI* (Direct and Indirect Imports from the United States)	57.0	63.7	64.8	68.7	64.3
Difference (Indirect Exports)	32.6	34.9	40.7	43.6	40.9
<i>Percentage of indirect exports</i>	<i>57.2</i>	<i>54.8</i>	<i>62.8</i>	<i>63.5</i>	<i>63.1</i>

**Data on direct imports published by BICO, U.S. Census Bureau*

Chart 1: U.S. Food and Agricultural Trade to Bulgaria



U.S. Food and Agricultural Trade to Bulgaria by Category

Direct U.S. agricultural trade to Bulgaria generally consists of bulk commodities shipped as sea freight, including sunflower seeds, tree nuts, ground nuts, some seafood, and wood products. The trade data for these categories are generally equally captured by both BICO and NSI. Indirect trade tends to be products that are shipped in smaller quantities, or that may require more flexible terms by Bulgarian importers than U.S. suppliers are able to provide. Western European distributors can offer U.S. shippers volumes and/or payment terms that would be difficult for some Bulgarian importers to match. Many U.S. exporters also find it more efficient to simply ship large volumes to well-established hubs in Western Europe and rely on those channels to supply other EU markets. Some Bulgarian importers prefer to work through European distributors and find it convenient for intermediaries to handle the EU customs clearances and procedures. Also, for new-to-market products, some Bulgarian importers prefer to purchase smaller volumes to test consumer demand and to build distribution channels. Finally, European distributors may incentivize Bulgarian importers with favorable terms of payments or advertising, particularly if there are longstanding commercial relationships. Table 2 below shows additional BICO and NSI data for U.S. agricultural trade to Bulgaria.

Table 2. 2019 Direct and Indirect U.S. Food and Agricultural Trade to Bulgaria (\$)

HS Code	Description	NSI* (Direct and Indirect imports from the United States)	BICO (Direct U.S. Trade to Bulgaria)	Difference	% of Difference Between Databases
Agricultural and Related Products		64,894,374	24,040,000	40,954,374	63.1
0201 and 0202	Beef and beef products	241,810	44,000	197,810	81.8
0300	Fishery Products	554,656	322,000	232,656	41.9
0700	Edible vegetables and certain roots and tubers	299,575	9,000	290,575	97.0
0800	Edible fruits and nuts	12,616,601	9,735,000	2,881,601	22.8
-080212	Fresh or dried almonds, shelled	9,549,912	8,437,000	1,112,912	11.7
-080251	Fresh or dried pistachios, in shell	1,882,188	1,041,000	841,188	44.7
1200	Oilseeds and Oleaginous fruits	19,648,500	2,634,000	17,014,500	86.6
-1202	Groundnuts (peanuts)	2,082,903	1,625,000	457,903	21.9
-12060010	Sunflower seeds for planting	16,969,564	503,000	16,466,564	97.0
2100	Miscellaneous edible preparations	7,182,256	2,403,000	4,779,256	66.5
-2106	Food Preparations	6,966,647	2,362,000	4,604,647	66.0
2200	Beverages, spirits and vinegar	13,513,842	5,356,000	8,157,842	60.3
-220830	Whiskies	10,209,786	5,228,000	4,981,786	48.8
-220870	Liquors and cordials	205,048	8,000	197,048	96.1
2300	Residues and waste from the food industries, prepared animal fodder	946,404	220,000	726,404	76.8
3300	Essential Oils	5,822,386	184,000	5,638,386	96.8
3500	Albuminoidal substances, modified starches, enzymes	932,276	185,000	747,276	80.1
4400	Wood	292,756	246,000	46,756	16.0

**Data on direct and indirect imports provided by the Bulgarian National Statistical Institute (Intrastat)*

According to BICO, the United States supplied about \$44,000 of beef trade to Bulgaria in 2019, while NSI data shows that the U.S. beef trade reached upwards of \$240,000. Most U.S. beef is shipped to through the Netherlands, the United Kingdom, Spain, and Italy.

In 2019, BICO accounted for over \$232,000 of U.S. fishery trade to Bulgaria. 2019 NSI data indicates over \$554,000 of U.S.-origin fish and seafood were traded to Bulgaria, mainly through Spain and

Belgium. Some local seafood importers prefer European distributors, especially for higher-end products such as fish fillets and shellfish.

For edible vegetables (mainly potatoes and roots/tubers of manioc), BICO data shows about \$9,000 of direct U.S. trade to Bulgaria, while NSI data shows almost \$300,000 of U.S. trade. Most of these products enter Bulgaria through the Netherlands (68 percent), followed by Hungary and Slovakia.

According to BICO, the U.S. almond trade to Bulgaria in 2019 was valued at \$8.4 million, and pistachios were valued at just over \$1.0 million. Conversely, NSI data reflect \$9.5 million, and \$1.9 million, respectively. NSI shows over \$2 million of U.S. peanuts are traded to Bulgaria, while BICO indicates the U.S. peanut trade at about \$1.6 million.

Bulgaria is a large sunflower producer and a large consumer of U.S. sunflower seeds for planting. However, for logistical and commercial reasons, almost all of the U.S.-origin sunflower planting seeds traded to Bulgaria, valued \$17 million, are shipped through Romania (52 percent) and Austria (42 percent).

BICO's 2019 data for food processing ingredients (food preparations) indicate about \$2.4 million of trade to Bulgaria, while NIS values U.S. trade of these products at about \$7 million. Most U.S. food processing ingredients shipped to Bulgaria were routed through the Netherlands, the United Kingdom, Cyprus, and Hungary. Food preparations not elsewhere specified are mostly protein concentrates and foods containing/non-containing milk fats, sucrose, and starch.

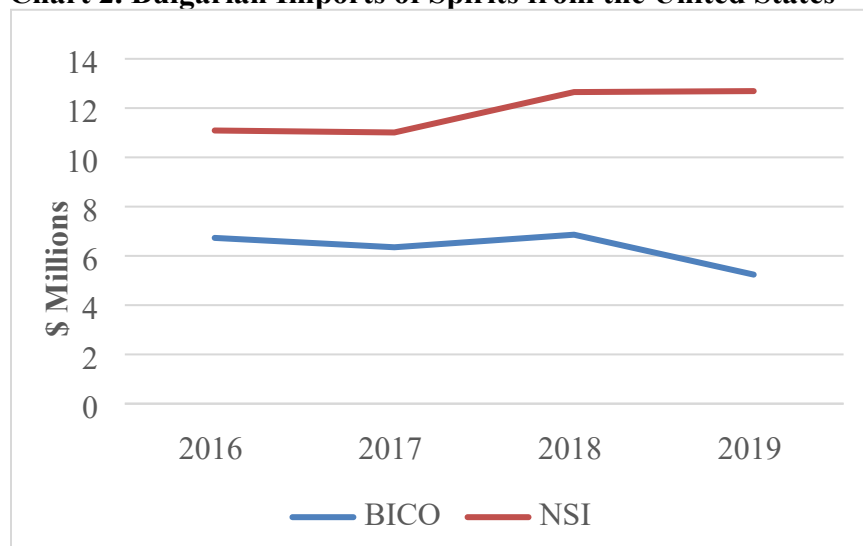
For essential oils, BICO data shows \$184,000 of U.S.-origin essential oils traded to Bulgaria in 2019, while NSI reflects \$6 million, a 97 percent difference. Most U.S. essential oils enter Bulgarian via the Czech Republic (20 percent), the Netherlands, Germany, and Romania.

For U.S. wood products, BICO data shows \$246,000 of U.S. wood product trade in 2019, compared to \$293,000 from NSI, a 16 percent difference. Indirect trade of these products occurs mainly through Austria and the Netherlands.

For distilled spirits (HS Code 2208), BICO data reflect \$5.2 million of U.S. trade to Bulgaria in 2019, while NIS data indicate \$12.7 million in U.S. trade, a 41 percent difference. BICO data show no U.S. trade of rum, gin, and vodka, while NSI data show over \$2.2 million of U.S. trade to Bulgaria for these products. Most U.S. distilled spirits are shipped to Bulgaria through Spain, the Netherlands, Germany, and the UK. See Table 3 below for the primary categories of U.S. distilled spirits traded to Bulgaria.

Table 3. U.S. Undenatured Ethyl Alcohol, Spirits, Liqueurs to Bulgaria 2016-2019 (\$)

HS Code	Description		2016	2017	2018	2019
220830	Whiskies	BICO	6,648,239	6,340,315	6,820,171	5,227,732
		NSI	10,397,163	10,441,264	11,949,659	10,209,786
220840	Rum and other spirits	BICO	-	-	-	-
		NSI	293,419	182,495	354,688	902,777
220850	Gin and Geneva	BICO	-	-	-	-
		NSI	3,236	10,079	16,355	13,190
220860	Vodka	BICO	-	-	-	-
		NSI	45,873	19,032	3,170	1,290,357
220870	Liqueurs and cordials	BICO	77,824	13,530	28,932	7,791
		NSI	313,859	293,501	294,731	205,048
220890	Ethyl alcohol of an alcoholic strength of < 80% vol.	BICO	-	-	3,440	2,762
		NSI	39,852	65,626	30,401	69,058
	Total:	BICO	6,726,063	6,353,845	6,852,543	5,238,285
		NSI	11,093,402	11,011,997	12,649,004	12,690,216

Chart 2. Bulgarian Imports of Spirits from the United States**Attachments:**

No Attachments.